

Common Business Expense Categories

This guide helps users organize possible business expenses before deciding whether to check the Tax box in the organizer.

Common business expense categories

- Advertising and marketing.
- Bank and merchant processing fees.
- Commissions.
- Contract labor / 1099 labor.
- Equipment used for business.
- Fuel and vehicle expenses when business-related.
- Insurance related to the business.
- Interest related to business borrowing.
- Legal and professional services.
- Licenses and permits.
- Meals when the applicable business requirements are met.
- Office supplies and software.
- Rent and lease expenses.
- Repairs and maintenance.
- Supplies and materials.
- Taxes and business fees.
- Telephone and internet when business-related.
- Travel when business-related.
- Utilities.

An expense being listed here does not automatically make it deductible. Personal expenses and mixed personal/business costs may require different treatment.

Cost of Goods Sold (COGS)

- COGS is generally not income.
- It generally represents direct costs associated with goods or products that were sold.
- It is commonly used to help calculate gross profit by subtracting COGS from gross receipts.
- COGS is different from ordinary operating expenses such as rent, advertising, or office supplies.

Businesses that do not sell goods or products may have little or no COGS. The correct treatment depends on the type of business and its records.

Items that should usually be reviewed carefully

- Personal purchases paid from a business account.
- Owner draws or distributions.
- Loan principal payments.
- Large equipment or asset purchases.
- Mixed-use vehicle, telephone, internet, or home expenses.
- Fines, penalties, gifts, entertainment, and other items that may have special rules.

Use the 'Other / Review with Tax Preparer' category when the correct treatment is unclear.

Important: This guide is for general record-organizing purposes only. It does not determine whether a particular receipt is taxable or whether an expense is deductible. Tax treatment depends on the facts and applicable law. Consult a qualified tax professional when needed.